

**IN THE COURT OF THE XI METROPOLITAN MAGISTRATE  
ESPLANADE, MUMBAI  
C.C. NO. 1847/SS/2026**

Ritesh Ahluwalia

... *COMPLAINANT*

**VERSUS**

Devraj Malkani

... *ACCUSED*

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**JUDGMENT**

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1. This complaint under Section 138 read with Section 142 of the Negotiable Instruments Act, 1881 was filed by the Complainant on 20.10.2025 alleging dishonour of Cheque No. 004821 for Rs. 36,00,000 issued by the Accused.
2. Briefly, the Complainant's case is that the Accused had taken a friendly loan of Rs. 36,00,000 from him on 10.08.2024 under a written Loan Agreement, paid interest of Rs. 1,08,000 on 10.11.2024 in acknowledgement of the debt, and thereafter issued the cheque in question towards discharge of the principal, which cheque was returned unpaid for 'Funds Insufficient'.
3. Upon the Accused entering appearance and pleading not guilty, the particulars of the offence were explained to him under Section 274 of the Bharatiya Nagarik Suraksha Sanhita, 2023, and he claimed trial.
4. The Complainant examined himself and tendered his evidence affidavit under Section 145(1) of the Act, exhibiting the Loan Agreement, the cheque and return memo, the statutory notice with postal tracking report, the ledger of the loan account, and his bank statement. In his cross-examination, the Complainant admitted that his ledger records interest on an 18% per annum basis though the Loan Agreement records the agreed rate as 15% per annum, describing the discrepancy as a clerical error, and stated that he did not fill in the disputed cheque himself.
5. The Accused was examined under Section 351, BNSS, 2023 and admitted the loan, the interest payment and the issuance of the cheque, but stated that the cheque was handed over as security for a proposed transaction that did not materialise. The Accused filed an affidavit in defence reiterating this position and relying upon the discrepancies in the Complainant's documents.
6. The points for determination are: (i) whether the cheque was issued by the Accused for the discharge, in whole or in part, of a legally enforceable debt; (ii) whether the statutory presumption under Sections 118 and 139 of the Act stands rebutted by the Accused; and (iii) the sentence and compensation, if any, to be awarded.
7. On point (i): it is not in dispute that the cheque bears the signature of the Accused and was issued and handed over by him to the Complainant. This admission, taken with the admitted loan and the admitted part-payment of interest, is sufficient to attract the presumption under Sections 118 and 139 of the Act that the cheque was issued for discharge of a debt.
8. As regards the discrepancy between the amount in figures (Rs. 36,00,000) and in words (Rupees Thirty Six Lakhs Fifty Thousand) on the face of the cheque, this Court finds that such a discrepancy, without more, does not detract from the admitted issuance of the cheque by the Accused for the principal sum actually due, particularly where the Accused has himself offered no explanation for the discrepancy save the bare assertion that he signed the cheque in blank.

9. As regards the discrepancy in the Complainant's ledger, which computes interest on an 18% per annum basis against the 15% per annum rate recorded in the Loan Agreement, this Court is of the view that the said discrepancy is a matter collateral to the principal liability evidenced by the cheque itself, going at best to the quantum of interest and not to the existence of the underlying debt, and does not by itself rebut the statutory presumption.
10. On point (ii): the bare assertion that the cheque was issued as 'security' for a transaction that did not materialise, unsupported by any contemporaneous document, e-mail, message or independent witness, does not rebut the statutory presumption on a preponderance of probabilities. The two discrepancies relied upon by the defence, taken at their highest, raise questions of detail but do not displace the admitted facts of the loan, the part-payment of interest and the issuance of the cheque.
11. This Court accordingly finds that the presumption under Sections 118 and 139 of the Negotiable Instruments Act, 1881 stands unrebutted, and that the Accused is guilty of the offence under Section 138 of the said Act.
12. On point (iii): having regard to the cheque amount, the interest lost to the Complainant and the harassment caused to him over an extended period, and to the interim compensation of 20% of the cheque amount already directed to be paid under Section 143A of the Act vide order dated 15.04.2026, this Court considers a sentence of fine coupled with compensation, rather than substantive imprisonment, to be appropriate in the facts of this case.
13. Accordingly, the Accused is convicted under Section 138 of the Negotiable Instruments Act, 1881, and is directed to pay compensation of Rs. 41,00,000 to the Complainant under Section 143A read with the applicable provisions of the Bharatiya Nagarik Suraksha Sanhita, 2023, in default of which simple imprisonment for one year shall be undergone. Any amount already paid towards interim compensation shall be adjusted against the said sum.

(XI Metropolitan Magistrate)  
Esplanade, Mumbai